

the commodities were limited, there was virtually no limit to the number and amount of receipts that could be issued.

There was obviously a flip side to this entire expansion and greed, which is commonly called inflation.

Inflation arose with the increase in costs. Inflation started going up for the first time as notes were being printed without any commodity backup. For ₹1000/- worth of commodities with the bank, the bank started issuing receipts (and hence started earning interest) for say, ₹2000/- (a fractional reserve¹⁷ of 2:1).

As greed grew, cases came to light in which banks started going bankrupt when they issued more money than the commodities they held and got withdrawal requests which they could not honour.

This is one of the most important reasons why central banks like the Federal Reserve Bank in the US and the Reserve Bank of India were created. These banks, not only wanted only one form of money — currency or commodity, but they also needed to regulate the fractional reserve system so that it did not go out of control.

Fiat money

Until now, things were still somewhat in control as long as the central government banks were controlling the fractional reserve ratio. However, greed knows no end. In 1971, the US Dollar was severed from the gold standard. This meant that the US no longer needed any commodities as a back up to create money. Technically, prior to 1971, the US Dollar was a derivative of gold but post 1971 the US Dollar became a derivative of debt. "Fiat" literally means an authoritative order. Fiat money is money which is not backed even by a fractional commodity. It is just issued on the government's faith and trust backing. It is more authoritative rather than being logical.

Coins